

COI Quick Start

Conflict of interest, made practical. Three pages.

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Conflicts are normal. Hidden ones are the problem.

The people who serve on boards and run small organizations are usually the most connected people in their communities. They own businesses, sit on other boards and hire friends of friends. Overlaps will happen. A conflict of interest is a situation, not an accusation. The trouble starts when an overlap stays quiet.

- A nonprofit board picks an IT vendor that a director's spouse owns.
- A food co-op buys produce from a farm run by a board member's brother.
- A small-business owner's cousin bids on the office remodel.
- A city commissioner's employer applies for a permit the commission will review.

None of these is automatically wrong. What makes them safe is one simple process that everyone uses every time:

Disclose

early, in writing.

Step out

of the discussion and the decision.

Let others decide

the people with no stake.

Write it down

so anyone can see how you decided.

The 60-second check

- ☐ We have a written conflict of interest policy, and our [board] has read it in the last two years.
- ☐ Everyone who makes decisions fills out a disclosure form every year.
- ☐ "Any conflicts with today's agenda?" is the first item at every meeting.
- ☐ Our minutes show who stepped out, who decided, and how.
- ☐ Staff know who to tell and what happens next.

Fewer than five checks? **Pages 2 and 3 get you started this month.**

Ask these eight questions once a year

Ask everyone who makes decisions, when they join, every year, and whenever something changes. "None" is a perfectly good answer.

1. Outside roles. Another board, employer or public appointment connected to our work?

2. Money ties. Do you or someone close to you own, earn from or negotiate with anyone we do business with?

3. Pay from us. Paid by us for anything beyond your role?

4. Funding and customers. Another group you serve competes with us for the same funders or customers?

5. Gifts. A gift over [your limit] from anyone who does or wants to do business with us?

6. People. Anyone close to you works for us, sells to us or uses our services?

7. Opportunities. Taken a deal we might reasonably have wanted?

8. Anything else a reasonable person might question?

When a conflict comes up

- 1 Say it before the item starts.** "I have a conflict on this one."
- 2 Answer factual questions, then leave the room** or the video call, for the discussion and the vote.
- 3 The people with no stake decide:** go ahead, compare other quotes, change the arrangement, or decline.
- 4 Write it in the minutes.** For example: "Director A disclosed a business relationship with the vendor and left the meeting. The remaining directors reviewed two other quotes and approved the contract 6-0."

The coffee rule for gifts

Fine	Disclose first, or say no thanks	Ask before you accept
Coffee or snacks for the team, a thank-you card, a branded pen	Tickets, meals, trips, anything over [your limit]. [Cash and gift cards: no, at any amount.]	Anything you're not sure about. Ask before, not after.

This is a practical starting point, not legal advice. Conflict of interest rules can be legal requirements; talk with an attorney about your organization's obligations. Nonprofits should also check their state's nonprofit law and the IRS Form 990 governance questions.

Your first 30 days

WEEK 1

Find what you have

- Dig up any existing policy, bylaws language or handbook section.
- Name one owner to keep this moving.

WEEK 2

Set up the form

- Turn the eight questions into your form.
- Decide who reviews forms and where they're kept, confidentially.

WEEK 3

Adopt and explain

- Adopt or update the policy and record the vote.
- Add "Any conflicts with today's agenda?" to every agenda.

WEEK 4

Collect and close the loop

- Send the form to everyone it covers.
- Read every form, not just file it, and follow up with anyone missing.

Want help getting it right?



I'm Katoya Palmer, founder and principal consultant of ToyBox Consulting & Management. I help boards and teams build governance that works in real life: clear roles, decisions people can explain, and policies that get used instead of filed.

I can help you:

- write or update your policy and forms in plain language;
- train your [board] on disclosure, recusal and minutes;
- run a hands-on conflict of interest workshop for your board or team;
- line up board and staff rules so they match.

Bring your draft, your questions, or the situation that made you download this.

Book a free 30-minute call with Katoya

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